STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Craig and Natalie Boyce

Of

7 Hillside Crescent

WEST LAUNCESTON TAS 7250

Prepared on:

30th August 2022

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an import document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumsces.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assisce.

30/08/2022

Craig and Natalie Boyce
7 Hillside Crescent
WEST LAUNCESTON TAS 7250

Dear Craig and Natalie,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don’t act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no import facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Craig and Natalie , *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Consider appropriate superannuation contribution strategies.
- Determine your projected retirement capital.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Craig	Natalie
Surname	Boyce	Boyce
Gender	M	F
Date of Birth	28/07/1960	12/10/1966
Age Last Birthday	62	55
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Part Time
Occupation	Production Manager	Horticulture Teacher
Employer	Metcash	Tas Tafe

Estate Planning

	Craig	Natalie
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$750,000
Total Lifestyle Assets	**$750,000**

Investment Assets	Value
Cash – Joint	$90,000
Cash – Craig & Natalie's share of cash in Bounce P/L	$54,000
Shares	$3,000
Investment Property - Bounce P/L	$475,000
Total Investment Assets	**$622,000**

Superannuation Assets	
Craig	
Spirit Super	$301,043
Natalie	
Spirit Super	$116,322
Total Superannuation Assets	**$417,365**

Total ASSETS	**$1,789,365**

LIABILITIES

NIL	$0
Total Liabilities	**$0**

NET WORTH	**$1,789,365**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Craig and Natalie, based upon your responses to the Risk Profile Questionnaire, it was determined that you both have a **Balanced to Growth** investor risk profile in regard to investments inside superannuation.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **'Balanced'** investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **'Growth'** investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Therefore, a '**Balanced to Growth'** investor will typically diversify their investment in the following manner.

Australian Shares	38.50%
International Shares	22.50%
Fixed Interest	19.50%
Property	15.50%
Cash	4.00%

Craig and Natalie, it was determined that you are classified as a **Moderately Conservative** investor in regard to your investments outside the superannuation environment.

The **Moderately Conservative** investor seeks a diversified portfolio with a balance of defensive and growth assets.

This requires an investment time horizon of between 3 – 5 years.

The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares, Index Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Craig and Natalie, you currently have the following superannuation funds:

Craig:

Spirit Super – Account Number 10296786

- The fund currently has a balance of approximately $301,043

Natalie

Spirit Super – Account Number 22397946

- The fund currently has a balance of approximately $116,322

Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
  - Continue to hold these monies in your existing Spirit Super funds respectively.
  - Roll across these superannuation monies to a more actively managed wholesale ‘master trust’ superannuation accumulation platform.

Investments Within Superannuation

Spirit Super – Account Number 10296786 (Craig)

Craig, you have a superannuation fund with Spirit Super invested in the 'Balanced' option.

- The Spirit Super 'Balanced' option has a 'Balanced to Growth' asset allocation which is outlined below.

The asset allocation of your Spirit Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	24%
International Shares	32%
Property / Infrastructure	19%
Private Equity	5%
Fixed Interest / Bonds	12%
Cash	8%
	100%

Current Spirit Super Portfolio Profile Compared to a 'Balanced to Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced to Growth Portfolio	Deviation
Australian Shares	24%	38.5%	**-14.5%**
International Shares	32%	22.5%	**+9.5%**
Property / Infrastructure	19%	15.5%	**+3.5%**
Private Equity	5%	0%	**+5%**
Fixed Interest / Bonds	12%	19.5%	**-7.5%**
Cash	8%	4%	**+4%**

Spirit Super Portfolio Historical Performance at 31/07/22:

	1 year	3 years (p.a.)	5 years (p.a.)
Spirit Super	-1.53%	4.64%	6.40%

Spirit Super – Account Number 22397946 (Natalie)

Natalie, you also have a superannuation fund with Spirit Super invested in the 'Balanced' option.

The asset allocation of your Spirit Super is:

Asset Class	% of Portfolio
Australian Shares	24%
International Shares	32%
Property / Infrastructure	19%
Private Equity	5%
Fixed Interest / Bonds	12%
Cash	8%
	24%

Current Spirit Super Portfolio Profile Compared to a 'Balanced to Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced to Growth Portfolio	Deviation
Australian Shares	24%	38.5%	-14.5%
International Shares	32%	22.5%	+9.5%
Property / Infrastructure	19%	15.5%	+3.5%
Private Equity	5%	0%	+5%
Fixed Interest / Bonds	12%	19.5%	-7.5%
Cash	8%	4%	+4%

Spirit Super Option Historical Performance at 31/07/22:

	1 year	3 years (p.a.)	5 years (p.a.)
Spirit Super	-1.53%	4.64%	6.40%

Option 1 – Maintain Existing Spirit Super Funds

Craig and Natalie

You are invested in Spirit Super option which is not directly aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance associated with your existing Spirit Super is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profiles respectively. The specific underlying funds that make up your individual portfolios would be:

Craig & Natalie

Colonial First State Wholesale Personal Super – 'Balanced to Growth' portfolio

	% of portfolio
Realindex Wholesale Australian Share	19.50%
First Sentier Wholesale Australian Small Companies	19.0%
Colonial First State Wholesale Index Global Share	22.50%
Ironbark Wholesale Property Securities	7.75%
First Sentier Wholesale Property Securities	7.75%
Perpetual Wholesale Diversified Income	19.50%
FirstRate Wholesale Saver	4.00%

Performance of the alternative Colonial First State Balanced to Growth Portfolio as at 31/07/2022:

*to be compared with your current Spirit Super Portfolio which is invested in this manner.

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share	19.50%	2.61%	6.17%	8.53%
First Sentier Wholesale Australian Small Companies	19.0%	-6.64%	9.43%	12.17%
Colonial First State Wholesale Index Global Share	22.50%	-4.32%	8.07%	10.44%
Ironbark Wholesale Property Securities	7.75%	-2.24%	3.06%	7.83%
First Sentier Wholesale Property Securities	7.75%	-0.88%	2.05%	6.80%
Perpetual Wholesale Diversified Income	19.50%	-2.01%	0.79%	1.37%
FirstRate Wholesale Saver	4.00%	0.45%	0.45%	0.45%
	100%	**-2.34%**	**5.38%**	**7.74%**

Benefits:

- The alternative portfolio has outperformed your current funds over the longer term.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Craig

Type of Fee or Cost	Spirit Super - $301,043	Colonial Wholesale Super Fund – $301,043
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.15% + $67.60 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$1,200 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.64% p.a.	0.76% p.a.
Annual average cost - Total $301,043 investment	**$2,446 p.a.**	**$3,488 p.a.**

Outcomes Post Implementation - Craig:

- Craig, your total management and administration fees will increase by approximately **$1,042 PER ANNUM**
- The Colonial First State Wholesale '**Balanced to Growth**' portfolio has **outperformed** your current Spirit Super Fund over the past 5 years by an average of **1.34% p.a**. Based on your current balance, **this equates to $4,034 p.a. ($20,170 over a 5-year period).**

Natalie

Type of Fee or Cost	Spirit Super - $116,322	Colonial Wholesale Super Fund – $116,322
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.15% + $67.60 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	$600 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.64% p.a.	0.76% p.a.
Annual average cost - Total $116,322 investment	**$987 p.a.**	**$1,484 p.a.**

Outcomes Post Implementation - Natalie:

- Natalie, the sum of your total ongoing management and administration fees will **increase** by proximately **$497 PER ANNUM.**
- The Colonial First State Wholesale '**Balanced to Growth**' portfolio has **outperformed** your current fund over the past 5 years by an average of **1.34%** p.a. Based on your current balance, **this equates to $1,559 p.a. ($7,794 over a 5-year period).**

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-Insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an import part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Craig, you currently have the following insurance cover in place under your Spirit Super fund.

<u>Spirit Super (superannuation owned)</u>
Life Insurance: $11,000

Natalie, you currently have the following insurance cover in place under your Spirit Super fund.

<u>Spirit Super (superannuation owned)</u>
Life Insurance: $254,553
TPD $254,553

<u>It must be brought to your attention that your insurance cover will cease should you close your existing superannuation funds and roll your superannuation monies across to another fund. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Matthew Hennig will assist you with this analysis and we will subsequently provide recommendations accordingly.</u>

Concessional Superannuation Contributions Carry Forward

Craig and Natalie, the concessional superannuation contribution cap in previous years was $25,000 per annum. In the 2021/22 financial year, this cap increased to $27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
    - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
    - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.

- **Craig**, the following concessional contributions have been made in recent years:

Financial Year	Craig	Total Allowable Contributions
2018/19	$9,656	$25,000
2019/20	$9,763	$25,000
2020/21	$55,685	$25,000
2021/22	$10,400	$27,500
2022/23	$11,340*	$27,500
TOTAL	**$96,844**	**$130,000**

* Estimated S.G contribution for 2022/23

- Craig, you therefore have a total of **$33,156** in concessional contributions available to you in the 2022/23 financial year. This includes carry forward contributions from the 2018/19, 2019/20, 2020/21, 2021/22 years totalling **$16,996.**

- **Natalie**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Natalie	Total Allowable Contributions
2018/19	$5,530	$25,000
2019/20	$5,746	$25,000
2020/21	$15,743	$25,000
2021/22	$5,646	$27,500
2022/23	$5,670*	$27,500
TOTAL	**$38,335**	**$130,000**

*Estimated S.G contribution 2022/23

- You therefore have a total of **$91,665** in concessional contributions available to you in the 2022/23 financial year. This includes carry forward contributions from the 2018/19, 2019/20, 2020/21, 2021/22 years totalling **$69,835.**

Recommendation:

- **Craig and Natalie**, as your respective superannuation balances are less than $500,000 you are eligible to make 'catch up' concessional contributions.

- Craig and Natalie, consider making salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to additional personal contributions of $16,160 p.a. for Craig and $21,830 p.a. for Natalie.
- Craig and Natalie, also consider making catch-up contributions to maximise the associated tax benefit. This would equate to an additional catch-up contribution of $16,996 for Craig and $10,170 per annum for Natalie.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 34.5% for both of you if taken as income.
- **The total tax saving each year is anticipated to be:**
  - **Craig** **$6,466** *(only for the one year you are going to continue to work)*
  - **Natalie** **$4,085** (*whilst you continue to work*)

Tax Liability - Craig

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$108,000			
Deductions				
Total deductions		NIL		
TAXABLE INCOME			**$108,000**	
Tax Payable before Rebates/Credits				**$25,567**
LESS Rebates & Credits				
Low to Mid Tax Offset				($0)
Low Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$25,567**
Medicare Levy				$2,160
NET TAX				**$27,727**

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	$108,000			
Deductions				
Total deductions		NIL		
Additional concessional contribution		$33,156		
TAXABLE INCOME			**$74,844**	
Tax Payable before Rebates/Credits				**$14,791**
LESS Rebates & Credits				
Low to Mid Tax Offset				($0)
Low Income tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$14,791**
Medicare Levy				$1,497
NET TAX				**$16,288**

Note: the additional $33,156 superannuation contribution will be subject to contributions tax of 15% ($4,973). Therefore, total tax incurred will be $21,261

Therefore, the overall tax benefit is anticipated to be $6,466 p.a. ($27,727 – $21,261).

Tax Liability - Natalie

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$54,000			
Deductions				
Total deductions		NIL		
TAXABLE INCOME			**$54,000**	
Tax Payable before Rebates/Credits				**$8,017**
LESS Rebates & Credits				
Low Income Tax Offset				($190)
Total Rebates & Credits				**($190)**
TAX PAYABLE after REBATES & CREDITS				**$7,827**
Medicare Levy				$1,080
NET TAX				**$8,907**

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	$54,000			
Deductions				
Total deductions		NIL		
Additional concessional contribution		$32,000		
TAXABLE INCOME			**$22,000**	
Tax Payable before Rebates/Credits				**$722**
LESS Rebates & Credits				
Low Income Tax Offset				($700)
Total Rebates & Credits				**($700)**
TAX PAYABLE after REBATES & CREDITS				**$22**
Medicare Levy				$0
NET TAX				**$22**

Note: the additional $32,000 superannuation contribution will be subject to contributions tax of 15% ($4,800). Therefore, total tax incurred will be $4,822

Therefore, the overall tax benefit is anticipated to be $4,085 p.a. ($8,907 – $4822).

- **Craig, if you contribute the 'carry forward' contributions ($16,996), along with the maximum annual concessional contribution available to you, the income tax saving this year is $6,466.**
- **Natalie, if you contribute the 'carry forward' contributions ($10,170), along with the maximum annual concessional contributions available to you, the income tax saving over the next four years is anticipated to be $16,340.**
    - The carry-forward contribution is spread across two years in order to achieve the most tax-beneficial outcome.

**It is assumed existing employer contributions remain the same through these 4 years at $5,670 p.a.*

		2022/23	2023/24	2024/25	2025/26	Total
	Concessional Contribution Cap	**$27,500**	**$27,500**	**$27,500**	**$27,500**	
	Personal Concessional Contributions Available (including 'carry forward' contributions)	$91,665	$72,195	$52,941	$31,111	
	Carry Forward Contribution	$10,170	$10,170	$10,170	$10,170	**$40,680**
	Additional Concessional Contribution	$21,830	$21,830	$21,830	$21,830	**$87,320**
	Total Concessional Contribution	**$32,000**	**$32,000**	**$32,000**	**$32,000**	**$128,000**
	Taxable Income	$22,000	$22,000	$22,000	$22,000	
	Reduction in Income Tax Payable	**$4,085**	**$4,085**	**$4,085**	**$4,085**	**$16,340**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Contributions Utilising Cash Reserves and Redraw Facility

- You have a residential property with a redraw facility totalling approximately $100,000.
- We have assumed an interest rate of 4.5% on the redraw facility.
- You have $144,000 of surplus cash in your bank accounts.
- Once these cash reserves have been utilised, you have the ability to use this redraw facility to assist with the superannuation contribution strategy outlined in this Statement of Advice.

Interest Cost of Contribution Strategy:

Year:	22/23	23/24	24/25	25/26	Total
Contribution:	$65,156	$32,000	$32,000	$32,000	**$161,156**
Cash used	$65,156	$32,000	$32,000	$14,844	**$144,000**
LOC used:	-	-	-	$17,156	**$17,156**
Interest Expense:	-	-	-	$772	**$772**

Tax saving and growth of super monies:

- By directing these monies into superannuation, the monies will then be invested within superannuation.
- Craig, it is anticipated your tax payable will reduce by approximately **$6,466** in your last year of employment.
- Natalie, it is anticipated your tax payable will reduce by approximately **$16,340** over this period.
- Using a conservative average superannuation return of 6% p.a., the $161,156 contributed into super via the concessional contribution strategy will earn $18,321 over the 4-year period.

Year:	22/23	23/24	24/25	25/26	Total
Total:	n/a	$65,156	$101,065	$139,129	**$179,447**
Contribution:	$65,156	$32,000	$32,000	$32,000	
Earnings @6%:	n/a	$3,909	$6,064	$8,348	**$18,321**

Recommendation:

- Craig and Natalie, we suggest directing surplus monies into superannuation via the contribution strategy previous detailed.

Basis of Recommendation:

- The reduction in tax payable and the growth rate within superannuation are anticipated to exceed the interest you will incur on the borrowed funds.
- You will be building assets in what will ultimately be a tax-free environment (superannuation when in pension phase)

Downsizer Contributions

Currently, individuals of age 60 and over are able to contribute an amount equal to all or part of the sale proceeds from the sale of their main residence, of up to $300,000 each into super. Downsizer contributions can be made regardless of the other contributions caps and restrictions that might apply to making voluntary contributions, i.e. age restrictions or work test requirements. There is no upper age limit on making downsizer contribution.

A member satisfies eligibility requirements if:

- The contributor is 60 years of age or over from the 1st of July 2022 at the time of the contribution.
- The contribution is capped at $300,000 per person.
- The main residence was owned by the individual, spouse or former spouse for 10 or more years prior to the sale.
- The contribution must be made into the fund within 90 days of the change of ownership.

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation – Pension Phase and Retirement Income Streams

Craig, you are 62 years of age and have reached preservation age. Natalie, you are currently 55 and do not reach preservation age until age 60.

On or after preservation age, you have the ability to convert superannuation monies to 'pension phase' and draw down an income stream. From age 60, all income received from this income stream is tax free.

If retired (and/or over age 65), all income earnt from the amount funding the income stream is also tax free, as opposed to being taxed at 15% when in accumulation phase.

Recommendations:

- Craig, upon retirement consider moving your superannuation from 'accumulation' to 'pension' phase, and commence an income stream to supplement living costs.
- Natalie, you do not reach preservation age (60) until October 2026, therefore you are required to remain in 'accumulation phase' for this period.

Reasons:

From age 60:

- Your superannuation fund will no longer incur 15% tax on earnings within the fund.
- You will receive a regular 'tax free' income stream to satisfy your cash flow needs.

For Consideration:

- The minimum income stream that must be drawn from any Allocated Pension is:

Age	Under 65	65-74	75-79	80-84	85-89	90-94	95+
Reduced percentage factor (2021-22 and 2022-23 financial years)	2%	2.5%	3%	3.5%	4.5%	5.5%	7%
Standard percentage (other years)	4%	5%	6%	7%	9%	11%	14%

Investment Structures & Associated Retirement Projections:

Assumptions:

- 10-year projections.
- Superannuation capital increases by 6.0% p.a.
- Capital value of residential property and investment property increases at 5.0% p.a.
- Investment property generates $17,888 p.a. of income.
- Craig commences retirement after year 1.
- Natalie commences retirement after year 4.
- $65,000 p.a. income stream required to supplement living expenses.

Current Total Super and Investment Capital is as follows.

Total Super Capital (Net Retirement Capital):	$417,365
Net Investment Property Capital:	$475,000
Net Residential Property Capital:	$750,000
Total Net Retirement Assets:	**$892,365**

Scenario 1:

- Retain current position.
- $65,000 p.a. is required to supplement living expenses.

	After 10 Years
Total Super Capital:	$455,889
Net Investment Property Capital:	$850,653
Net Residential Property Capital:	$1,204,515
Total Net Retirement Assets:	**$1,306,542**

Scenario 2:

- Implement recommended additional concessional superannuation contributions.
- $65,000 p.a. is required to supplement living expenses.

	After 10 Years
Total Super Capital:	$524,148
Net Investment Property Capital:	$850,653
Net Residential Property Capital:	$1,204,515
Total Net Retirement Assets:	**$1,374,801**

Scenario 3:

- Implement recommended additional concessional superannuation contributions.
- Implement 'catch-up' contributions strategy.
- $65,000 p.a. is required to supplement living expenses.

	After 10 Years
Total Super Capital:	$568,003
Net Investment Property Capital:	$850,653
Net Residential Property Capital:	$1,204,515
Total Net Retirement Assets:	**$1,418,656**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

Based on these Superannuation Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital

After 10 Years:

- It is assumed that the Investment Property is generating $17,888 of income per annum.
- Therefore, Craig and Natalie your projected super capital must generate a further $47,112 per annum to reach your desired income stream of $65,000 per annum.

Scenario	Projected Super Capital	Total Retirement Income Required	Retirement Income Required from Super Capital	Required Annual Return on Superannuation
1	$455,889	$55,000	$37,112	8.14%
		$65,000	$47,112	10.33%
		$75,000	$57,112	12.53%
2	$524,148	$55,000	$37,112	7.08%
		$65,000	$47,112	8.99%
		$75,000	$57,112	12.53%
3	**$568,003**	**$55,000**	**$37,112**	**6.53%**
		$65,000	**$47,112**	**8.29%**
		$75,000	**$57,112**	**10.05%**

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $2,000+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

A flat Fixed Term Adviser Service Fee will apply to any Colonial FirstChoice investments implemented. This is paid for a fixed term of 12 months with a new Fixed Term Agreement required once the Fixed Term expires.

The agreed ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is import to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections